Syllabus

JULES *v.* ANDRE BALAZS PROPERTIES ET AL.

CERTIORARI TO THE UNITED STATES COURT OF APPEALS FOR THE SECOND CIRCUIT

No. 25–83. Argued March 30, 2026—Decided May 14, 2026

This case presents the question whether a federal court that has previously stayed claims in a pending action under § 3 of the Federal Arbitration Act (FAA) has jurisdiction to confirm or vacate a resulting arbitral award on those claims, even when the motion to confirm under § 9 or the motion to vacate under § 10 does not independently present a basis for federal jurisdiction on its face.

Between 2017 and 2020, petitioner Adrian Jules worked at the Chateau Marmont Hotel in Los Angeles, California. When the hotel ended his employment in March 2020, Jules sued in Federal District Court in New York, alleging that respondents unlawfully discriminated against him in violation of federal and state law. Citing an arbitration agreement Jules had signed before beginning work at the hotel, respondents moved to stay federal proceedings pending arbitration under § 3 of the FAA. The District Court held that the arbitration agreement covered Jules's claims and stayed proceedings. Jules then commenced arbitration against respondents. The arbitrator issued a final award, ruling against Jules on all claims and awarding approximately $34,500 in sanctions to respondents. Back in the same District Court that had previously stayed Jules's claims pending arbitration, respondents moved to confirm the award under § 9. Jules opposed confirmation while cross-moving to vacate the arbitral award under § 10 on various grounds. Jules argued that, under *Badgerow* v. *Walters*, 596 U. S. 1, the District Court lacked jurisdiction to confirm the award because the § 9 and § 10 motions neither presented federal questions nor satisfied the requirements for diversity jurisdiction. The District Court disagreed and confirmed the arbitral award. The Second Circuit affirmed, reasoning that *Badgerow* involved a freestanding action commenced for the sole purpose of vacating an arbitral award, but that the present action was distinct because it started as a federal-question suit before it was stayed pending arbitration. The Second Circuit held that a court with the power to stay an action under § 3 has the further power to confirm any ensuing arbitration award, regardless of whether there is an independent jurisdictional basis for the § 9 and § 10 proceedings.

Held: A federal court that has previously stayed claims in a pending action under § 3 of the FAA has jurisdiction to confirm or vacate a resulting

Page Proof Pending Publication

arbitral award on those claims as prescribed in § 9 and § 10 of the FAA; nothing in the FAA precludes the normal operation of federal jurisdiction regarding live claims pending before a federal court. Pp. 209–218.

(a) Unlike with the freestanding applications at issue in *Vaden* v. *Discover Bank*, 556 U. S. 49, and *Badgerow*, assessing jurisdiction over a § 9 or § 10 motion in a case originally filed in federal court does not require "'looking through'" the filed action "to the parties' underlying substantive controversy" outside of court. *Vaden*, 556 U. S., at 62. Instead, the court may assess its jurisdiction by looking at the suit that is already before it. As *Badgerow* explained, "[j]urisdiction to decide [a] case includes jurisdiction to decide [a] motion" within that case, and usually "there is no need to 'look through' the motion in search of a jurisdictional basis outside the court." 596 U. S., at 15.

The District Court had original jurisdiction, under 28 U. S. C. § 1331, over Jules's federal claims, and it was that very jurisdiction which authorized the court to adjudicate the arbitrability of Jules's claims under the parties' contract before staying litigation pending arbitration pursuant to § 3. Nothing in the FAA eliminated that jurisdiction while the parties arbitrated. When the parties returned to court after arbitration with § 9 and § 10 motions, the court had the same "jurisdiction to decide the case," and thus "jurisdiction to decide th[ose] motion[s]," that it possessed from the start. *Badgerow*, 596 U. S., at 15.

Page Proof Pending Publication

This case therefore is not, as petitioner asserts, "*Badgerow* all over again." In *Badgerow*, the first and only thing that had occurred in federal court was the confirm-or-vacate dispute under § 9 and § 10. In that circumstance, there were only two places a court could look to find federal jurisdiction: the face of the FAA motions or the underlying dispute that "was not before" the court. *Id.*, at 9. Here, however, there is an obvious third place to look for jurisdiction: the original claims themselves, which were sufficient to establish the District Court's jurisdiction under 28 U. S. C. § 1331.

The fact that the arbitral award may have resolved Jules's original claims only underscores why the District Court's original jurisdiction extended to the parties' § 9 and § 10 motions. Those motions required the District Court to assess whether there were grounds to vacate the award. The motions were thus integral to determining whether the award would continue to serve as a valid defense to the original claims that had been stayed, but were still pending, in District Court until the court confirmed the award.

Jules notes that, unlike dismissal based on an affirmative defense, a § 9 motion goes further and asks a court to convert an arbitral award into a judgment of the court. That is correct, but federal courts have the power to incorporate private settlements into orders of the court

when resolving claims that are the subject of those settlements, as recognized in *Kokkonen* v. *Guardian Life Ins. Co. of America*, 511 U. S. 375, as well as in the context of consent judgments and class-action settlements.

The FAA's structure further confirms jurisdiction here. In *Smith* v. *Spizzirri*, 601 U. S. 472, the Court held that § 3 requires a stay rather than dismissal, which "comports with the supervisory role that the FAA envisions for the courts," including "assist[ing] parties in arbitration . . . and facilitating recovery on an arbitral award." *Id.*, at 478. Under the rule the Court adopts today, this scheme continues to work well: The FAA requires a stay so that a court that has granted a § 3 stay can superintend the arbitration to the end, including through confirmation or vacatur under § 9 or § 10. Pp. 209–213.

(b) Jules's remaining counterarguments are without merit. First, Jules overreads *Badgerow*, which did not convert the nonjurisdictional FAA into a comprehensive jurisdictional scheme that requires an independent jurisdictional basis for all § 9 and § 10 motions. The problem for the losing party in *Badgerow* was that, without the look-through approach authorized by § 4, there was no federal jurisdiction to be found in the case. See 596 U. S., at 9, 12. Because § 9 and § 10, unlike § 4, did not provide a textual basis for applying the look-through approach, the Court held that it was not available. *Id.*, at 14. Respondents here, to the contrary, are not asking for any "highly unusual" look-through rule, *id.*, at 12, but merely ask the District Court to use the tools provided by the FAA to finally resolve the federal claims Jules filed in federal court under 28 U. S. C. § 1331.

Page Proof Pending Publication

Second, Jules argues that § 9 and § 10 applications should be treated as entirely "new federal actions" for purposes of assessing jurisdiction, even when filed in pre-existing suits, because § 9 and § 12 of the FAA require service and notice of such applications. That argument fails. The Court has explained that § 3's mandatory stay is aimed at "avoid-[ing] [the] costs and complications" of "bring[ing] a new suit." *Spizzirri*, 601 U. S., at 478. Jules concedes, moreover, that service of § 9 and § 10 motions is not required in all cases. The service provisions in § 9 and § 12 do not impose the strict jurisdictional rule he favors.

Third, Jules's reliance on § 8 of the FAA, which governs certain maritime arbitrations, is unavailing. Section 8 merely instructs that in one class of admiralty cases involving *in rem* jurisdiction over a vessel, the court holding the vessel must retain jurisdiction to confirm or vacate such award. It does not shed light on how jurisdiction should function in other FAA disputes.

Finally, Jules's policy concerns lack force. His concerns about encouraging parties to engage in useless federal litigation to create a juris-

dictional anchor are conjectural, and there is no evidence suggesting that his concerns about manufactured federal jurisdiction will come to pass. Moreover, it is not anomalous for federal jurisdiction to turn on how litigation proceeded, as "actual litigation" generally "define[s] the parties' controversy." *Vaden*, 556 U. S., at 68. In any event, countervailing policy concerns favor the Court's rule. Jules's rule would significantly diminish "the supervisory role that the FAA envisions for the courts," *Spizzirri*, 601 U. S., at 478, and would undermine the efficiency interests at the heart of the FAA by forcing parties to launch a fresh state-court proceeding to secure confirmation or vacatur of an arbitral award. Jules's approach could also lead to unnecessarily complex dual-track litigation where confirm-or-vacate proceedings commence in state court just as arbitrability appeals begin in federal court. Pp. 213–218.

Affirmed.

SOTOMAYOR, J., delivered the opinion for a unanimous Court.

Adam G. Unikowsky argued the cause for petitioner. With him on the briefs was *Simon A. de Carvalho.*

Daniel L. Geyser argued the cause for respondents. With him on the brief were *Anne M. Voigts* and *Alekzandir Morton.**

Page Proof Pending Publication

JUSTICE SOTOMAYOR delivered the opinion of the Court.

This case addresses whether a federal court that has previously stayed claims in a pending action under § 3 of the Federal Arbitration Act (FAA), 9 U. S. C. § 1 *et seq.*, has jurisdiction to confirm or vacate a resulting arbitral award as to those claims under § 9 and § 10. The Court holds that it does. Because a federal court in this scenario has jurisdiction over the original claims and does not lose that jurisdiction while the case is stayed pending arbitration, it retains jurisdiction to determine whether the arbitral award resolving those claims is valid and should be confirmed. The judgment of the Court of Appeals for the Second Circuit is therefore affirmed.

**Peter B. Rutledge*, *Jennifer B. Dickey*, and *Jonathan D. Urick* filed a brief for the Chamber of Commerce of the United States of America as *amicus curiae* urging affirmance.